How a Hedge Fund Manager Spun Up Trump Accounts in Record Time

A TAX NOTES FEATURE

by Warren Rojas

Altimeter Capital CEO and Trump accounts architect Brad Gerstner wasn't born rich.

His working-class upbringing in Syracuse, Indiana, was rocked by his father's losing battle with bankruptcy, local layoffs, and what he describes as "oppressive" marginal tax rates.

The painful episode tempered Gerstner's resolve, morphing from childhood trauma to an all-consuming mission to forge one-size-fits-all financial lifelines fortified by direct federal aid, early exposure to publicly traded stocks, and decades of tax-free compound growth.

The idea of creating a universal federal savings account for children has been around for decades, but it was ultimately two Republicans who got it over the finish line.

Sen. Ted Cruz, R-Texas, and President Trump helped turn Gerstner's idea into law, although the savings plans, which rocketed from legislative draft to law of the land in less than two months, could have borne a different name had Democratic leaders embraced the proposal.

While it's too early to gauge whether the nascent tax-deferred investment program, enacted as part of the One Big Beautiful Bill Act, will convert low-income families into lifetime savers or it just becomes another tax shelter for the 1 percent, the results likely won't materialize for decades.

But the price tag, already up to approximately $4 billion, could drain billions more in federal revenue — and possibly exacerbate a Social Security insolvency crisis already requiring significant benefit cuts in 2032, if some privatization die-hards get their way.

Up for Grabs

A day after Trump supporters stormed the U.S. Capitol to try and negate former President Joe Biden's lawful victory, Gerstner offered his own prescription for making America great again, pitching the idea of establishing an investment account with a stipend at birth on CNBC's *Halftime Report*.

Back when Gerstner was still publicly workshopping the idea during spot TV interviews and podcast appearances, the aspiring policy wonk offered to work with anyone who would listen.

Hours after his January 2021 appeal on CNBC, Gerstner was fishing for supporters, saying he would pitch the investment accounts, funded with $2,000, to the Biden administration.

A few weeks later, Gerstner tagged Sen. Cory A. Booker, D-N.J., then-Sen. Mitt Romney of Utah, Rep. Ayanna Pressley, D-Mass., then-Transportation Secretary Pete Buttigieg, and tech mogul Elon Musk in a social media thread designed to rally supporters to his cause.

Gerstner didn't respond to multiple requests for comment about whether he ever connected with any Biden administration officials. Nor did the half-dozen former Biden advisors *Tax Notes* pinged for confirmation. Booker and Pressley couldn't be reached for comment either.

Given that Democrats controlled both chambers of Congress and the White House in 2021, it is conceivable that Invest America accounts, or some variation, could have hitched a ride on the Inflation Reduction Act.

Fast forward three years, and Gerstner brings aboard Matt Lira, who served in the White House Office of American Innovation during the first Trump administration, to help with coalition building.

An 'Open-Source Project'

Still, Gerstner remained open to working with anyone.

"This is an open-source project. Anybody can take and run with this," he told iConnections Chief Operating Officer Kaitlin Malin in late January 2024. Gerstner went on to explain that he'd recently spoken with then-presidential hopeful Rep. Dean Phillips, and said the Minnesota Democrat was smitten with the pro-savings pitch.

According to Gerstner, the conversation drifted into tweaks Phillips had in mind (the then-lawmaker changed the name to American Dream Accounts in his legislative proposal).

While he continues to advocate for his languishing American Opportunity Accounts Act, Booker has publicly endorsed Trump

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accounts and encourages everyone — including the Fortune 1000 CEO's he wrote to with Cruz — to make the most of them.

"At the end of the day, what I care about is not a name . . . I care about children's economic empowerment," Booker said while out promoting the new savings plans alongside Gerstner.

California Gov. Gavin Newsom (D) struck a similar tone while inviting Californians to register for CalKIDS, a like-minded, state-based kids' savings program.

Newsom urged parents to "take advantage of this, to not fall prey to the politics or the cynicism or maybe even the fear that if I download a Trump account, somehow that means something — it doesn't," he said, adding, "It just means something for your kid. It's not Trump's money; it's your child's money."

Name Game

When Cruz introduced Gerstner's idea as a legislative proposal (S. 1718), the featured savings vehicle was still going by the title the venture capitalist turned founder of the nonprofit Invest America Charitable Foundation had floated on countless podcasts: Invest America accounts.

Across the Capitol, Utah Republican Blake Moore took a different tack, introducing H.R. 3407, the Money Accounts for Growth and Advancement (MAGA) Act.

House Republican leaders left the MAGA accounts moniker in place when they rushed the sweeping budget reconciliation bill out of committee. The White House seemed fine with it, adhering to Moore's preferred packaging in a 20-point press release praising the inclusion of "MAGA Accounts for newborns to start saving."

When GOP leaders hustled the bill to the House floor 48 hours later, they'd left nothing to chance. The final version of their 2025 spending bundle, which squeaked through the narrowly divided chamber May 22, 2025, refers to the newly created section 530A savings plans as Trump accounts.

Less than a month later, Trump convened a roundtable event at the White House so assorted cabinet secretaries, lawmakers, and business leaders could "hail the creation of 'Trump Accounts.'"

Jumping the Line

Over the years, there have been many bills proposed to create savings accounts for children, including the Social Security KidSave Accounts Act, first introduced in 1998 by then-Senate Finance Committee member J. Robert Kerrey, D-Neb.

A *Tax Notes* analysis of tax-preferred savings accounts established in the past 30 years underscores how unprecedented Trump accounts are.

Of the 15 bills *Tax Notes* found that were proposed to create new tax savings accounts for either adults or children and had support from at least one congressional taxwriter, only one of the proposals (the Savings for Working Families Act) passed the Senate. Like Trump accounts, it was originally included in a broader legislative package (the Charitable Aid, Recovery, and Empowerment Act of 2003). Another proposal (the Family Savings Act) cleared the House but fizzled out afterwards.

At least one of the bills featured the filibuster-proof support of 78 senators (including senior members of the Finance Committee), another has been reintroduced nearly every session for two decades, and a few were proposed by sitting presidents (or presidential hopefuls).

So how did a tax plan that Trump never ran on and that Congress never fully considered break through a historic logjam?

Teresa Ghilarducci of the New School for Social Research, said Gerstner's pitch was notable because of "the channel it opens for charitable dollars to flow straight into individual children's accounts."

A Moore aide said the Utah Republican immediately got what Gerstner was trying to do with the investment-focused accounts.

"Reconciliation provided a unique opportunity to set up and pay for new programs that would otherwise be expensive on their own," the Republican House aide wrote in an email, stressing that the cost of inaction would have been unconscionable.

Trump accounts provide $1,000 in seed money for accounts for children born from January 1, 2025, through December 31, 2028, which would phase out for children born after January 1, 2029.

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Moore introduced the Trump Accounts for All Generations Act (H.R. 8313) on April 15 along with Reps. Adrian Smith, R-Neb., and Brian Jack, R-Ga. The bill, which is co-sponsored by 18 other House Republicans, would make the $1,000 government contribution permanent and index it for inflation beginning in 2029.

Senate taxwriter Chuck Grassley, R-Iowa, predicted that the accounts will outlive the pilot program. "I don't know if it'll be extended with a $1,000 incentive, but it's going to be extended," Grassley said.

Grassley, who has seen countless flash in the pan proposals during his four decade-long stint on the Finance Committee, said Trump accounts are revolutionary because "the federal government's actually encouraging families to get in by the government putting in the first $1,000."

Bringing the Fight

The Invest America site suggests that Gerstner's eldest son, Lincoln, deserves some credit for getting the family's self-styled lifetime savings plans rolling.

"In 2020, Lincoln began thinking more about wealth inequality after considering a family investment account that had been created for him at birth," the foundation writes of the purported flash of inspiration.

A July 2025 post by travel news hub *Skift* added to the origin story, reporting that Lincoln wondered aloud why he and his younger brother, Jack, stood to benefit from custodial accounts Gerstner started for them while other kids missed out. "Well, that doesn't seem fair," Lincoln reportedly told his father.

Turns out, Gerstner's talked about grappling with economic anxiety stemming from his rocky childhood.

"I guess at some level, the idea has been gestating for my whole life. I was a kid whose dad went broke," Gerstner shared with tech talk show TBPN in May 2025.

Gerstner dug deeper a few months earlier, laying out an expanded tale of woe for Hoover Institution economist Jon Hartley.

Gerstner hailed his father, Thomas, as one of his earliest heroes, noting that the first-generation college graduate made a decent living as the general manager of an auto parts factory. Local press clippings reviewed by *Tax Notes* revealed that Thomas worked for the Weatherhead Company, a Cleveland-based manufacturer that unveiled an employee profit-sharing plan in 1936.

Things soured, however, while Gerstner was still in grade school.

"Remember, in the early 1980s, it just felt like government was oppressive," Gerstner said of the dark forces that snatched the family's home, car, and dignity right out from under them.

Years later, Gerstner scored a full ride to Wabash College, where he earned a degree in economics.

He told Bloomberg Radio's Barry Ritholtz about parlaying a $25,000 windfall from his grandfather into tuition money for Indiana University (where he got his law degree) and Harvard Business School (MBA) by day trading.

Back in Washington, newly elected Sen. Cruz was looking to make a splash upon riding into town in early 2013.

On the cusp of President Obama's second inauguration, Cruz penned an op-ed for the *Washington Post* prodding Republicans to perpetually rain on Obama's parade by embracing "opportunity conservatism."

"Don't just dwell on the long-term solvency of Social Security; promote personal accounts to allow low-income Americans to accumulate wealth and pass it on to future generations," Cruz implored his colleagues. The best way to the wrestle back control of the White House, he asserted, was for the GOP to "view, and explain, every policy through the lens of economic mobility."

Cultivating Patriotism

While various states have experimented with tax-advantaged savings plans for kids over the years — including the burgeoning CalKIDS program, Oklahoma's revolutionary SEED project, and Maine's grant-based collegiate scholarship funds — Gerstner had something more dynamic in mind.

Whereas other savings programs played it safe by requiring offsetting tax hikes or investing in low-risk securities like Treasury bonds, Gerstner's business experience had convinced him that the secret to long-term success is investing in the stock market.

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He tried to drive that message home during a May 2024 appearance at the Milken Institute's annual conference, touting preliminary research being workshopped by former Clinton administration economic adviser Ben Shapiro and current Trump administration adviser Kevin Hassett that showed how auto-enrolling today's children in government-seeded Invest America accounts and allowing those S&P 500-based trades to grow (assuming an annual return of 10.5 percent, per the fine print) over the course of a lifetime is projected to foster higher graduation rates, reduce mental health problems, and promote business creation.

And he's hopeful that watching their account balances snowball over time will make the next generation that much more patriotic. "You're creating 3.7 million new capitalists a year who believe that the color that unites us all is green," Gerstner said.

On the other hand, Cruz has worked whatever angles possible to finally find a home for the personal investment accounts he lobbied for over a decade ago.

A *Texas Tribune* article from last summer reports that Cruz urged Senate Republicans to think big picture as they huddled in the Library of Congress to plot legislative strategy.

As talk turned to must-pass tax policies, Cruz challenged everyone within earshot to give GOP supporters something worth bragging about. "What will people remember that was in this bill?" he reportedly counseled.

Laying the Groundwork

Fast forward to this January and Cruz now has the president's ear.

Fresh off an Oval Office visit during which everyone cheered on the eponymous savings vehicle, Cruz said Trump liked the idea of being immortalized in the tax code.

"President Trump, initially, when we laid out the idea to him, he liked it," Cruz told his podcast audience. But as Cruz and others made the case for sending the estimated 73 million children in America on their way with prefunded Trump accounts, their political futures keep getting brighter.

"I think he's really appreciating that these are going to be a huge part of his legacy," Cruz said, adding, "When all of us are dead and buried. . .the impact of the Trump accounts is going to echo forward."

Gerstner had a similar experience with Trump, telling this year's Milken Institute conferees that after their meeting at the White House, it was game on. "The president saw the idea and said, 'This is the whole meaning of my presidency,'" Gerstner said.

With Trump fully on board, Gerstner apparently felt like he'd locked in "the biggest change to the social contract in America in 50 years," estimating that within a few decades his savings plans would eclipse Social Security.

Cruz noted that when President George W. Bush tried to rejigger retirement savings plans in 2004-2005, "Congress ran for the hills in a display of extraordinary cowardice."

His modern-day workaround? "We gave the money to babies . . . so the old people didn't get p-----," Cruz said.

Treasury didn't respond to multiple requests for updated enrollment data following the official July 4 rollout. But Frank Bisignano, who serves as Trump's Social Security Administration commissioner and unconfirmed head of the IRS, told reporters on August 31 that four million accounts due $1,000 in federal funds — a one-time contribution earmarked for kids born between 2025 and 2028 — had been created to date.

Now that they've laid the groundwork with a few million children (and counting), Cruz suspects that rising Trump account balances will convince current payroll taxpayers to finally come around on Social Security privatization and demand FICA-funded savings plans of their own.

"My prediction is within five years, that is going to have a really compelling constituency. Because people will have seen it," Cruz said.

Nuts and Bolts

According to a 2025 Milken Institute report, the $1,000 in seed money for the then-theoretical investment accounts was projected to grow, without any further contributions, to approximately $8,000 in 20 years (college age), $69,000 in 40 years (home buying age), and $574,000 in 60 years (retirement age). Adding in a tax-deductible employer match for that first

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$1,000 was estimated to double the baseline projections across the same time periods.

But the official Trump accounts site offers rosier scenarios based on additional contributions of $250 per year or maxing out the accounts by socking away the full $5,000 allowed. At age 18, the low-end investor has earned $19,000, while the high-end investor is sitting on $271,000; by age 27, those totals climb to $51,000 and $742,000, respectively; and by age 55, the accounts have swelled to $878,000 and $13 million, respectively.

"Actual results may differ and are not guaranteed," says the disclaimer running along the bottom that's in a much smaller font than the eye-popping account totals.

During the June 2025 roundtable at the White House, Gerstner mapped out alternate growth figures based on an additional $750 in annual contributions kicked in by parents, grandparents, churches or "the great philanthropists in America." His back of the envelope tallies worked out to $50,000 by age 18, $175,000 by age 30 and $1 million by age 50.

Stoking those anticipated earnings will take time and effort.

Treasury is already filling in some blanks, laying down markers for qualified investment options, publicly traded stock donations, gift tax exclusions, and nondiscrimination requirements for contributing employers. In addition to codifying what's in on the qualified investments front (exchange-traded funds that track the returns of a qualified index), newly proposed regulations continue the administration's work of Biden erasure by excluding any investment funds that prioritize environmental, social, and governance concerns.

Treasury initially decreed that all Trump accounts investments would default to the State Street SPDR Portfolio S&P 500 ETF but stipulated that four additional options would join the lineup "in the coming months."

According to Yahoo Finance, the State Street ETF is heavily invested in technology stocks (37 percent of its current holdings). The top three companies in the it's current portfolio are NVIDIA Corporation, Apple Inc., and Microsoft.

Maximum Effort

In the race to make Trump accounts the savings option average Americans look to for retirement security, Cruz knows that speed matters. That's why he's bearing down on government regulators to auto-enroll the estimated 73 million American children alive today in Trump accounts rather than relying on the voluntary opt-in system currently in place.

The problem is that "Treasury career staff, the lawyers, are still fighting back," he grumbled in early July.

Treasury didn't respond to repeated requests for comment about issues related to activating the auto-enrollment feature of Trump accounts.

When *Tax Notes* caught up with Cruz, he suggested that things were moving in the right direction. "My understanding is they're working on it and working on it expeditiously," Cruz said.

For now, it seems that Bisignano has been tasked with taking the Trump accounts baton and running with it. Treasury announced that he will "lead the implementation of the program's next phase" but hasn't specified what that might entail.

Meanwhile, the Social Security Administration is working to bolster Trump accounts participation via complementary changes to the Enumeration at Birth program. While not an auto-enrollment fix, the newly enacted policy allows parents to register for Trump accounts on the same hospital forms used to apply for Social Security numbers.

Ghilarducci said she was puzzled by opposition to the auto-enrollment campaign. "Automatic enrollment is settled best practice. Fighting it undermines the program's own stated purpose," she said, warning that "opt-in designs leave behind exactly the disadvantaged children a program like this one claims to serve."

Monique Morrissey of the Economic Policy Institute estimated that auto-enrolling those eligible for the free seed money might be "modestly beneficial" for some college-bound kids but argued that it doesn't add up for others.

"Auto-enrollment for parents ineligible for the $1,000 contribution is a terrible idea since most working parents should save in an employer-sponsored retirement plan instead (or maybe a

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529 college plan) — if it makes sense for them to save at all," Morrissey said.

Wealth Disparities

Absent the comparable pretax benefits from contributing to a 401(k) and with the specter of potential early withdrawal penalties for those who misuse Trump accounts before they turn 59.5, Morrissey said existing savings options offer more bang for the buck.

She urged policymakers to invest in "almost anything else related to children" rather than throwing money at Trump accounts.

"The real goal of Brad Gerstner and other Trump account boosters is to convince working class families that their future lies in the stock market rather than in public investments," she said, chastising those who value the pursuit of ownership society ideals above funding community building blocks like the Head Start program.

"It's also silly to compare these to targeted and progressive baby bonds that might actually reduce — rather than widen — wealth disparities," Morrissey added.

Are Trump accounts going to solve all our problems?

"Heavens, no," Ghilarducci said.

But they could help some disadvantaged kids catch a lucky break down the line.

Assuming they manage to scrape together the food stamps, affordable healthcare, and best public schooling possible to carry them into adulthood.

"Building wealth for children is a worthy goal. But it cannot substitute for meeting children's needs today," Ghilarducci said. "We should be doing both." ■

Senate Panel Advances IRS Chief Counsel, Tax Court Nominees

by Cady Stanton

Senate taxwriters advanced President Trump's nominees for the top lawyer at the IRS and for a Tax Court vacancy, despite concerns from Democrats about potential conflicts of interest for one of the candidates.

The Senate Finance Committee voted 14-13 on September 24 to advance James Gadwood, Trump's nominee for IRS chief counsel, and Andrew De Mello, the president's first Tax Court nominee of his second term, to full Senate consideration.

Gadwood, who serves as vice chair of Miller & Chevalier Chtd.'s tax department, and De Mello, who briefly served as acting IRS chief counsel last year, both avoided intense scrutiny during their nomination hearing when the panel mostly focused on two nominees for jobs within the Department of Health and Human Services.

Senate Finance Committee ranking member Ron Wyden, D-Ore., encouraged colleagues to vote against both nominees. Wyden specifically criticized Gadwood after a public financial disclosure released by the Office of Government Ethics after his nomination showed that he provided legal services to one of Trump's holding companies within the last two calendar years

Wyden said that Gadwood declined to answer questions from him and his staff over whether he represented Trump's company through his work with Miller & Chevalier.

"That level of secrecy and obstruction, at a time when the IRS is trying to give the president a corrupt immunity deal, is a whopping conflict of interest that should disqualify him from a position of such importance as IRS Chief Counsel," Wyden said. Trump's purported settlement in his lawsuit against the IRS stemming from the leak of his tax returns included an audit immunity order, which has also been the subject of litigation.

In answers to questions for the record released by the Finance Committee, Gadwood told Wyden he has never met Trump, but has met his son, Eric Trump, once.

Finance Committee Chair Mike Crapo, R-Idaho, praised Gadwood's commitment to

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